

When Does It Pay to Be Early?

Evidence from Every US Trademark Filing

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The question

Strategy offers two confident and opposite answers to whether a firm gains by bringing a new kind of offering to market before others do. The first says it does. Firms that create uncontested market space, rather than competing in existing categories, grow faster and earn more (Kim & Mauborgne, 2004); early entrants secure scarce resources, customer loyalty and scale (Lieberman & Montgomery, 1988); and when a new industry's field of entrants is later winnowed, it is the early entrants who survive the shakeout and come to lead it (Klepper, 1997; Klepper & Miller, 1995). On this view, even if later entry, mergers and failures thin a new market, the firms that opened it should be over-represented among its survivors and among the companies that reach public markets.

The second says it does not. Pioneers pay to prove that a market exists, and followers enter behind them at lower cost and risk. Where an innovation is easy to imitate and the pioneer lacks the complementary assets to hold its position, the value it creates is captured by imitators (Teece, 1986); histories of named markets show that the firms remembered as pioneers were usually not the first entrants, because the true first entrants mostly failed (Golder & Tellis, 1993); and in management consulting, where service-mark filings trace which firms copy which new offerings, rivals' new offerings are imitated routinely, the more so when the innovating firm is prominent (Semadeni & Anderson, 2010). A third position holds that neither answer is general: the advantage of being first depends on how quickly the technology and the market are changing (Suárez & Lanzolla, 2007).

These claims have been tested mostly on named markets and on the firms that survived long enough to be studied. The question here is what happens across the whole population of entrants, including the ones that failed: *does being early with a new kind of offering pay, and when does it not?*

The measure

A companion paper (Silver, 2026) re-parses every US trademark filing into dated events and scores each filing's goods/services description on *lead*: whether the firms that filed in the same industry over the following five years described their offerings more like this filing than the firms of the five years before had, so that a leading filing named a kind of offering that became more common after it was filed, and a lagging one named a kind that was becoming less common.

That reading of lead can be checked directly. Every description is scored as a mix of fifty themes, and the themes' shares of an industry's filings shift over time, some growing and some shrinking. Among the most leading fifth of 2002–2018 registrations, 86% named a main theme that

took a larger share of their industry’s filings in the five years after they filed than in the five years before; among the most lagging fifth, 15% did. Leading filings entered offerings that others then crowded into.

What each side predicts

H1 *Early pays.* Leading filings’ products survive longer, and their owners are more likely to raise private money, reach public reporting and list. The early entrants who survive a shakeout should be over-represented among the largest firms.

H2 *Early costs.* Leading filings’ products fail more often, and their owners are no more likely, or less likely, to reach the capital markets, because the crowding that makes a filing leading is the competition that erodes its position.

H3 *It depends.* The sign of the lead effect varies with the pace of change, by era and by industry.

The record supplies the outcomes. Product survival is the sworn declaration that a registered mark’s goods are still being sold, due in the fifth to sixth year; the capital markets are a priced private round after the owner’s first filing, appearance in SEC reporting, and an initial public offering.

The answer: being early costs, at every stage after registration

Products described early fail more often. Among 3.10 million registrations issued 2002–2018, the most leading fifth were cancelled at the five-year proof 1.4 percentage points more often than the most lagging fifth (53.3% against 51.9%), within industry and year and with drafting, counsel and filer characteristics held ($t = 8.3$). The penalty is positive in three of every four industries and under every construction of the measure tried, and it persists, at about half the size, at the year-ten renewal.

Early firms reach the capital markets less often, not more. Among owners whose first registered filing was made 2009–2018, the most leading fifth raised a priced round after that filing no more often than the most lagging fifth (1.69% against 1.74%), reached SEC reporting less often (0.36% against 0.55%), and listed less often (0.17% against 0.22%). The owners likeliest to report and to list are those whose first description used language their industry was leaving behind — mostly established firms filing a first trademark late.

New business models attract money but not listings. Debuts described in the vocabulary of artificial intelligence or blockchain raised private rounds about five times as often as the average debut (7.8% and 8.0% against 1.6%), yet listed at the average rate (0.16% to 0.22% against 0.17%). The prediction that the new models’ early entrants would reach public markets in numbers does not hold on this record: investors funded the new vocabulary, and the listings did not follow.

These results favour H2 over H1. The effect is modest — a leading filing’s product is about 3% more likely to be gone within six years — so being early is a cost to be weighed, not a verdict.

When the rule breaks

In the years after the dot-com crash, leading technology filings survived more often. For technology filings made 2000–2004, the most leading fifth failed less often than the most lagging fifth. Two things produced that reversal. The computer and information-services vocabulary that had led

the late 1990s had fallen out of the leading fifth, and its marks failed at among the era’s highest rates; excluding that one theme restores a penalty. And within themes, leading filings in goods and retail were genuinely rewarded: most strongly in online retail, where the most leading fifth failed 8.3 points less often than the most lagging, and also in electronic devices and in media goods. Leading filings in research and scientific services were penalized in the same years. The exception is consistent with H3 — a period of rapid change in how goods reached customers — though this record cannot separate it from the selection of which firms were still filing after the crash.

Unusual is not the same as early. Filings whose language is unusual for their industry survive the proof more often, not less, and filings that carry a theme established in another industry into a new one survive more often than their industry’s average. What the record penalizes is not being different; it is being where the crowd is about to go.

Joining a wave costs little; arriving first within it costs nothing more. Filings that joined a theme whose share of its industry was surging failed only slightly more often than others, and within a wave the order of arrival made no difference. The one corpus-wide surge, online software in 1999, is the exception: its filings failed 8.6 points more often than their industry and year.

Among the few firms that grew very large, being early neither helped nor hurt. Of the 500 highest-revenue firms the record links to SEC filings, 20% debuted in the most leading fifth, the share chance would give.

What the answer does not say

Lead measures the position of a firm’s language relative to its industry’s, not the novelty of its product, and crowding in language is not crowding in market share. A filing can lead because others imitated it, because all of them responded to the same outside change, or by coincidence. Acquisitions are invisible: a mark retired after its owner was acquired counts as a product that failed, and an acquisition is not a listing. And the socially valuable part of early entry may be the one the record cannot price: the language each industry eventually adopted was first filed, disproportionately, by firms that did not survive to use it (Kerr et al., 2014).

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